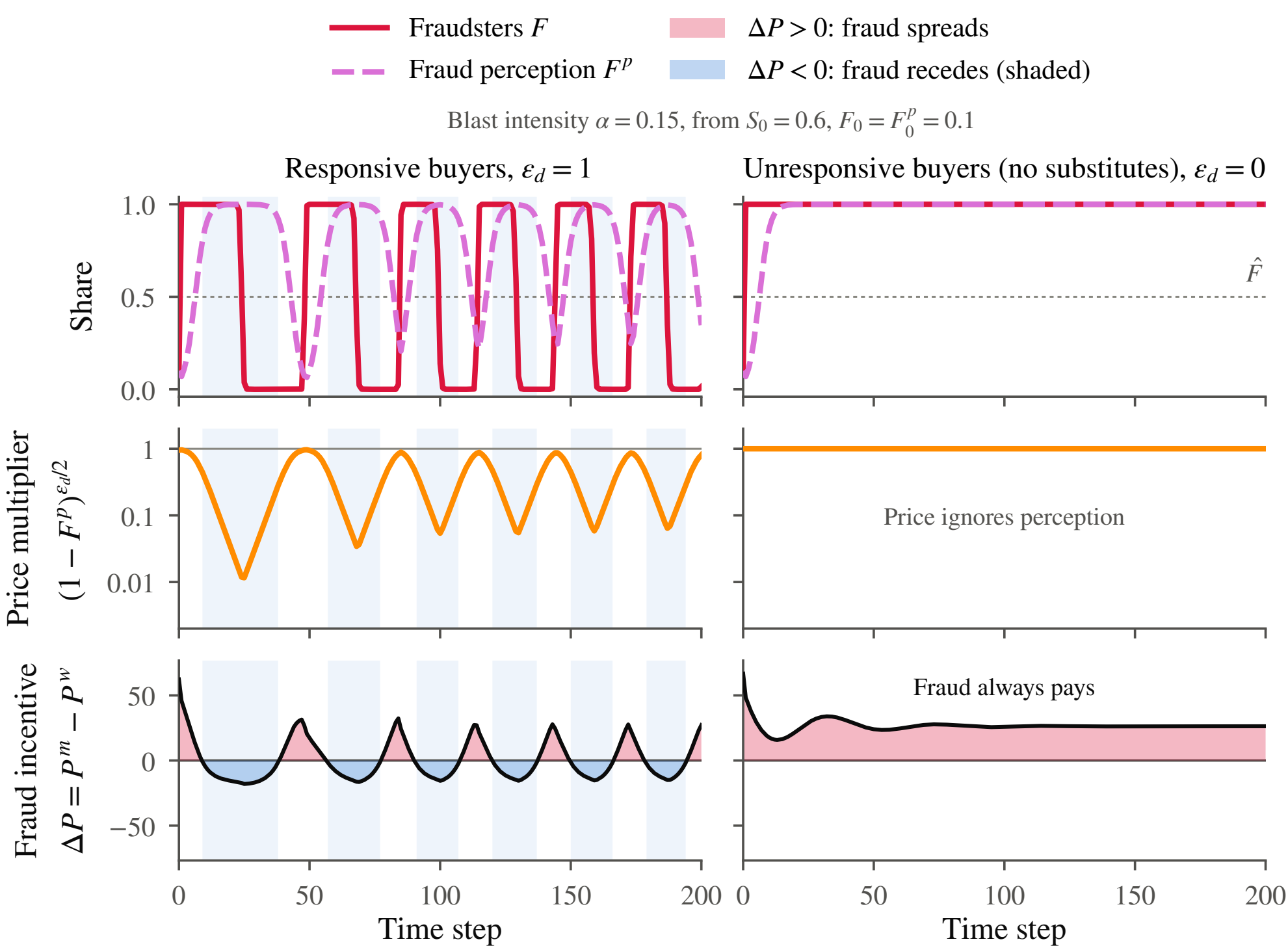
Fraudsters F
Fraud perception F^p
$\Delta P > 0$: fraud spreads
$\Delta P < 0$: fraud recedes (shaded)
Blast intensity $\alpha = 0.15$, from $S_0 = 0.6$, $F_0 = F_0^p = 0.1$
Responsive buyers, $\varepsilon_d = 1$
Unresponsive buyers (no substitutes), $\varepsilon_d = 0$
Share
1.0
0.5
0.0
$\hat{F}$
Price multiplier
$(1 - F^p)^{\varepsilon_d/2}$
1
0.1
0.01
Price ignores perception
Fraud incentive
$\Delta P = P^m - P^w$
50
0
−50
Fraud always pays
0
50
100
150
200
Time step